

be able to accomplish for you in the long term? These goals provide two things: your reasons for investing and how long your investment timeframe is likely to be. Examples of objectives could include things like retiring at a certain age, paying for your child's college education, buying your dream house, creating a family legacy to be passed down through generations, and so forth.

Once you've laid out what your specific investment objectives are, you'll need to:

- Determine how much money you'll need in total for each objective to be met.
- Determine how much you can consistently invest on a recurring basis to help you get closer to achieving your objectives.
- Assign a timeline to your objectives and determine how many years it will take to meet them. (*Tip: A quick Google search for “investment calculator” will pull up several different calculators to help you determine your numbers.*)

As you work on calculating the costs of your objectives, don't worry if the amounts you are able to invest right now aren't enough to meet your objectives within your desired timeline. Consider that you'll likely have more to invest in the future as you pay off debt, increase your income, and reduce your expenses. Make a plan to adjust your objectives over time as your financial situation changes.

Having clear objectives in place, as well as clear timeframes for them, will help you create a sound investing plan and make the best decisions about how and where you invest your money. For example, if one of your objectives is to retire in a particular year, you can plan to make your retirement investments more conservative as you approach that year. By doing this, you ensure that if there is a market decline around the time when you plan to retire, your investments are protected and you can stay on course with your plan.

As a rule, you don't want to invest any money in the stock market that you have allocated for short-term goals that you want to accomplish within five years or fewer. Why? Well, the stock market is hard to predict, so a lot of